INTELLECTUAL PROPERTY STRATEGY · COST VARIANCE · BREAKEVEN · A/B TESTING

# IP Distribution Decision Verticals

A decision framework that helps owners of intellectual property choose a distribution model that fits their business type, built on unit economics, cost variance analysis, breakeven analysis and testable hypotheses.

Start the walkthrough → | Open the Tableau story | View on GitHub

> Status note: certain works referenced by this analysis are in the initial stage of pre-publication copyright registration with the U.S. Copyright Office. No title-specific details are disclosed.

Prepared by Shamar Robinson · October 2026

NAVIGATE

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**Tableau story ↗** **GitHub repository ↗** **Data (CSV) ↗** **Excel model ↓** **PDF version ↓**

EXECUTIVE SUMMARY

# Three findings drive the decision

## $6.79 vs $3.33

**Channel share drives the cost variance**

On a $16.99 paperback, Amazon KDP returns $6.79 per unit while IngramSpark's bookstore route returns $3.33. About $2.55 of that $3.47 gap is the retailer discount, not printing or platform fees. See the variance bridge.

## 158 vs 272

**Breakeven depends on contribution, not fees**

With $1,585 to $1,710 in Year-1 fixed costs, KDP breaks even at 158 unit pairs (one print plus one ebook) and IngramSpark at 272. Platform fees alone are recovered within 20 pairs. See the breakeven analysis.

## 16.6 / month

**A subscription only wins at scale**

PublishDrive's flat $13.99 monthly fee beats IngramSpark's per-sale fees only above 16.6 units per format per month. Below that, variable-cost models are cheaper. See the crossover.

**Decision ask:** approve a two-channel launch (KDP plus one wide-distribution route chosen by business vertical), with a 90-day A/B test on price and channel terms before committing to exclusivity. Go to the recommendation.

SCOPE

# The decision, and who it is for

Every owner of intellectual property faces the same make-or-buy distribution question: **which channels turn a protected work into the most contribution margin, at acceptable risk and cash timing?** The answer differs by business type, so this analysis is organized into five decision verticals.

### A

**Independent creator**

One work, Amazon-led discovery, limited capital.

### B

**Small press or imprint**

Needs bookstore and library placement for a curated list.

### C

**Catalog or backlist owner**

Many titles and steady volume; fixed fees amortize well.

### D

**Brand, educator or corporate IP owner**

Owns an audience; sells through events, courses or a website.

### E

**Wide ebook strategist**

Digital-first, wants reach beyond one retailer.

Stakeholders: IP owners, finance and FP&A partners, marketing leads, rights and contracts teams, and investors evaluating content businesses.

WHY IT MATTERS BEYOND PUBLISHING

# A cross-industry lens on one IP decision

| Concept | How it is used here | Where else you see it |
|---|---|---|
| **Cost variance analysis** | Net royalty per unit vs a KDP baseline, split into channel, production and fee drivers | Manufacturing, SaaS, healthcare budgeting |
| **Gross-to-net (GTN)** | List price to net royalty waterfall | Pharma, CPG, music streaming |
| **Contribution margin and breakeven** | Units needed to recover launch costs | Retail, restaurants, hardware startups |
| **Fixed vs variable cost crossover** | Subscription vs per-sale fee models | Cloud pricing, payments, logistics |
| **Sensitivity and scenario analysis** | Tornado chart; bear, base and bull volumes | Corporate FP&A, project finance |
| **A/B testing and breakeven lift** | Price and channel-term experiments with sample sizes | E-commerce, product, marketing |
| **Days sales outstanding (DSO)** | 45 to 105 days from sale to cash | Every B2B business, working-capital planning |
| **Pool-based payouts** | Kindle Unlimited per-page rate | Music streaming pro-rata pools, ad networks |
| **Returns reserve and counterparty risk** | Returnable wholesale terms; retailer non-payment | Retail, distribution, insurance |

Full definitions are in the glossary.

MARKET CONTEXT

# Mainstream benchmarks frame the opportunity

**$33.4B**

**U.S. publisher revenue, 2025**

+2.5% vs 2024

AAP StatShot Annual Report 2025 ↗

**4.17M**

**ISBNs issued in the U.S., 2025**

3.53M self-published, +38.7%

Bowker via Publishers Weekly, Mar 2026 ↗

**762.4M**

**Print units sold, 2025**

+0.3% vs 2024

Circana BookScan via Publishers Weekly ↗

**415,780**

**Copyright registrations, FY2025**

169,098 were literary works

U.S. Copyright Office, FY2025 Facts at a Glance ↗

**3.4 mo**

**Average e-filed registration time**

5.3 months with correspondence

U.S. Copyright Office processing times ↗

**$65 → $85**

**Standard Application fee**

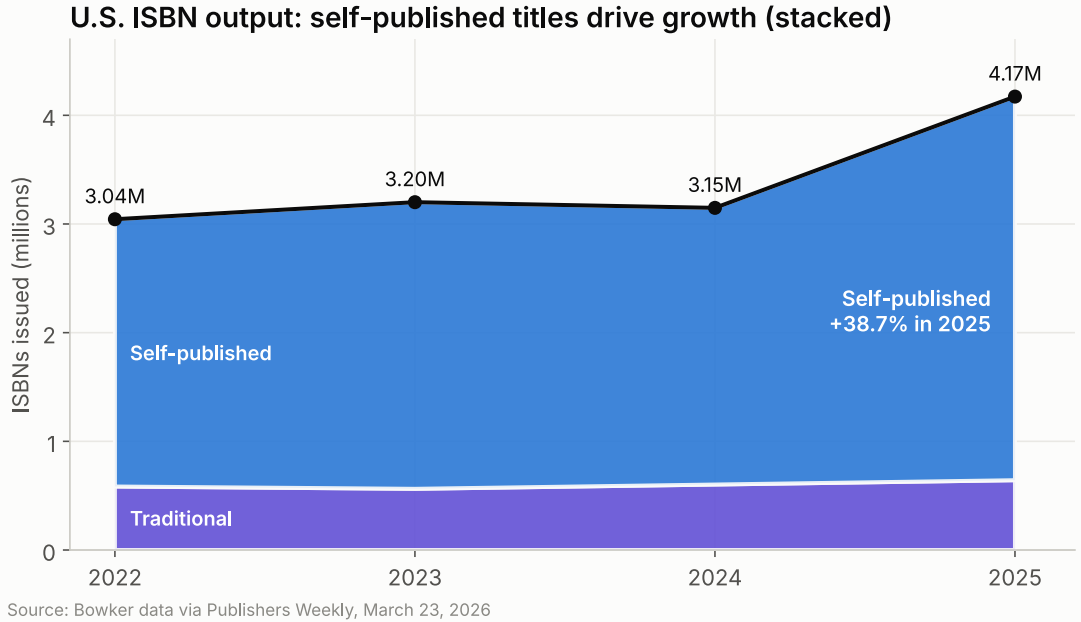
New fee schedule from mid-November 2026

Hypebot on the 2026 USCO fee schedule ↗

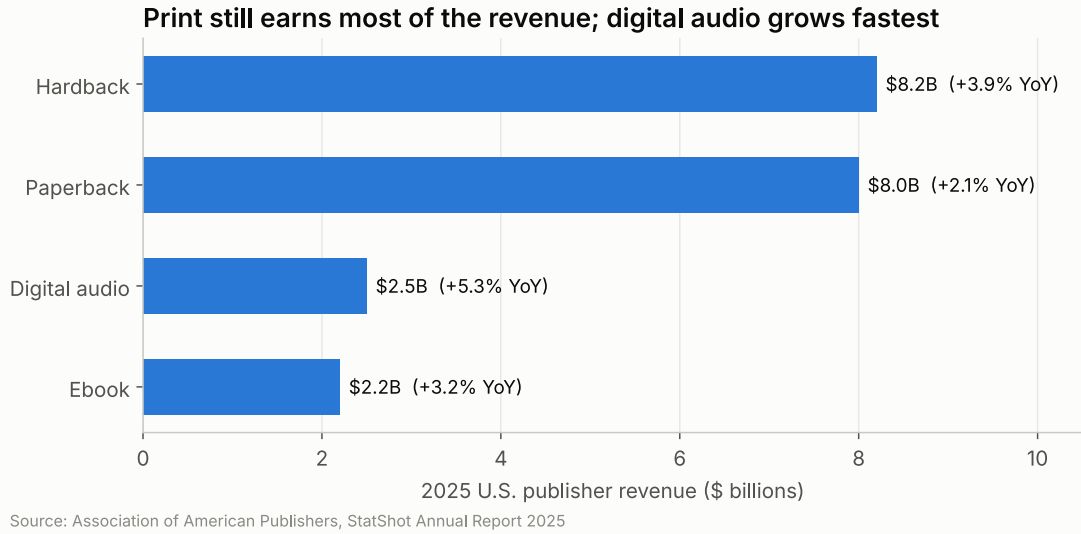
Supply of new works is growing much faster than unit demand: ISBN output rose 32.5% in 2025 while print unit sales rose 0.3%. More works compete for the same buyers, so the margin kept per sale and the cost to launch matter more every year.

MARKET CONTEXT

# Self-published supply is surging while print still earns most revenue




Source: Bowker data via Publishers Weekly, March 23, 2026



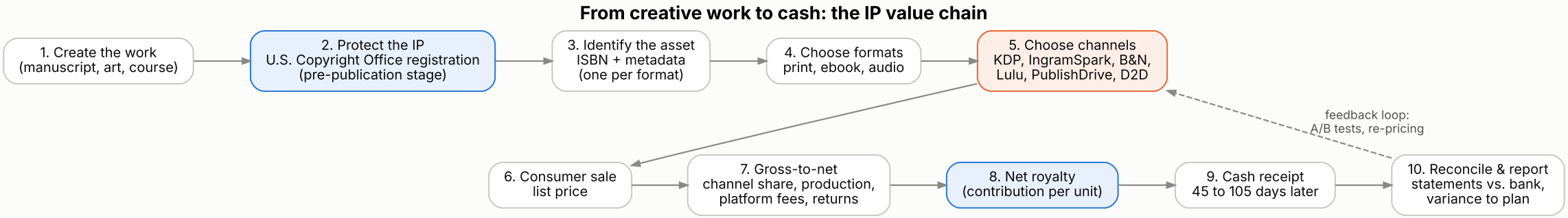

Source: Association of American Publishers, StatShot Annual Report 2025

The stacked line shows self-published ISBNs climbing to 3.53 million in 2025. Hardback and paperback still bring in $16.2 billion of the $33.4 billion market, which is why print distribution choices carry the most dollars.

Sources: Bowker via Publishers Weekly, Mar 2026; AAP StatShot Annual Report 2025

PROCESS FLOW

# The IP value chain: from protected work to reconciled cash




**Step 2 is where rights are secured.** Certain works covered here are in the initial stage of pre-publication copyright registration with the U.S. Copyright Office. Registration is a prerequisite for filing an infringement suit over a U.S. work and for statutory damages, so it is treated as a fixed launch cost ($85 Standard Application under the new schedule).

**Steps 7 through 10 are where finance lives.** Gross-to-net deductions, cash timing and reconciliation are the same disciplines used in film participations, music royalties and SaaS revenue operations.

Sources: U.S. Copyright Office, FY2025 Facts at a Glance; Hypebot on the 2026 USCO fee schedule; U.S. Copyright Office processing times

CHOICE SET

# Six options, three cost models

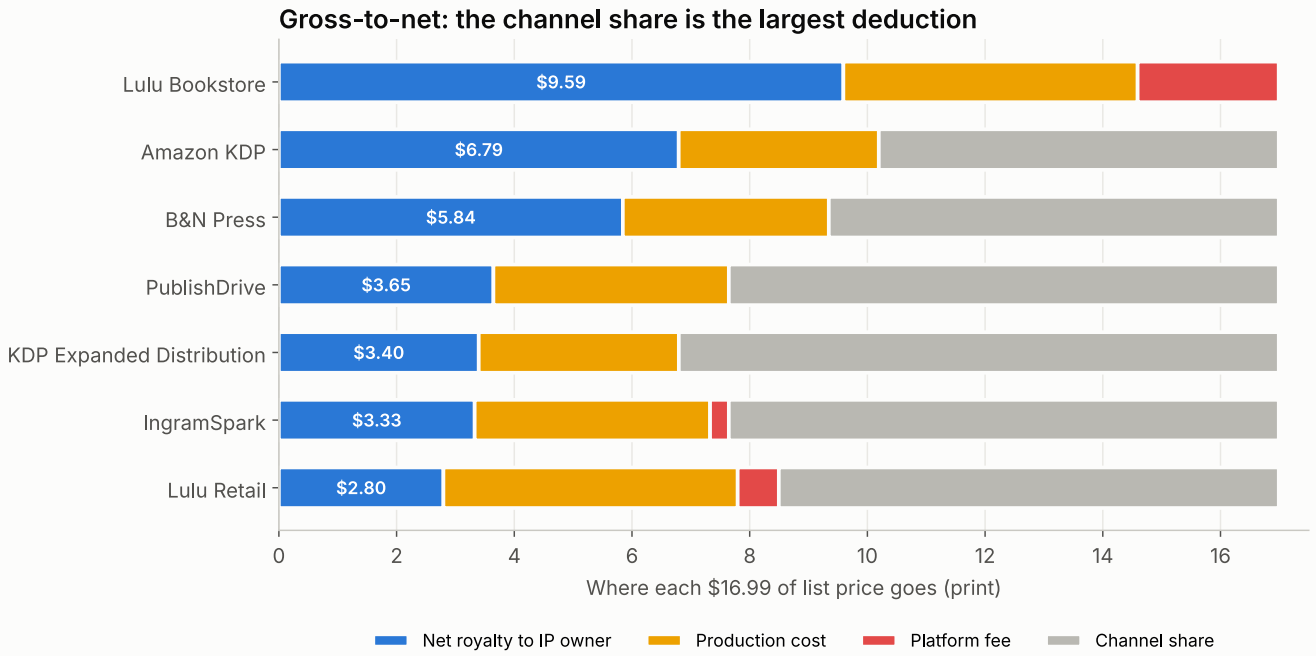
| Platform | Print economics | Ebook economics | Fixed cost | Payment terms | Reach |
|---|---|---|---|---|---|
| **Amazon KDP** | 60% of list minus print | 70% ($2.99 to $9.99) | Free | ~60 days after month end | Amazon only |
| **IngramSpark** | List minus 35 to 55% discount, print, 1.875% fee | 85% of store payout | Free setup; own ISBN | ~90 days after month end | Bookstores, libraries, 45,000+ outlets |
| **B&N Press** | 55% of list minus print | 70% flat | Free; print ISBN free | ~30 days after month end | BN.com (U.S.) |
| **Lulu** | Retail: 50% fee, print, then 20% commission | Fee plus commission | Free; proof required | Monthly | Own store, retail, your site |
| **PublishDrive** | Ingram network, 0% commission | 100% of store payout | $13.99 to $83.99/mo | Monthly | 400+ stores |
| **Draft2Digital** | Print via partners | ~90% of store payout | $20 account fee | Monthly, ~60-day lag | Apple, Kobo, Google, libraries |

The options fall into three cost models: **retailer-direct** (KDP, B&N), **wholesale with per-sale fees** (IngramSpark, Lulu, Draft2Digital) and **subscription with zero commission** (PublishDrive).

Sources: IngramSpark Help Center: 2026 pricing changes; Profitable.app KDP royalty calculator; B&N Press Help Center: Getting paid; Chapter: Lulu pricing (Sep 2026); PublishDrive Help: pricing plans; PublishDrive vs Draft2Digital (Apr 2026); ScribeCount platform comparison

UNIT ECONOMICS

# Gross-to-net: where each $16.99 goes



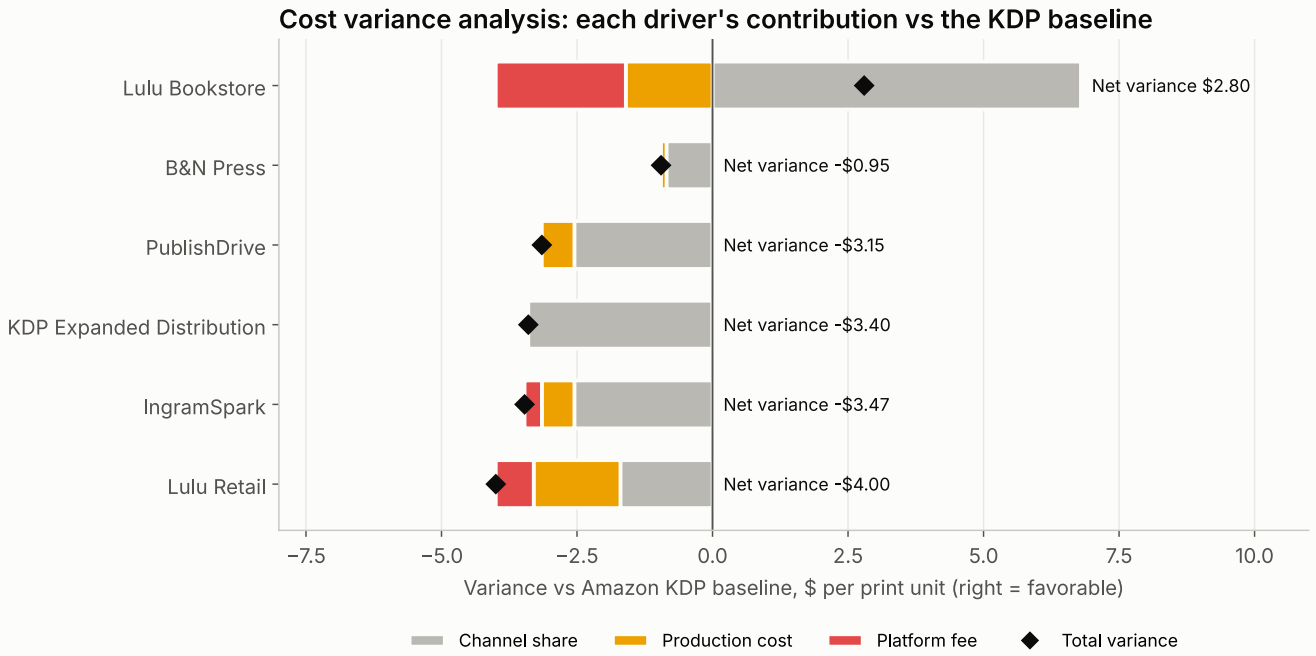

Source: Model in this repository; platform rates from IngramSpark, KDP, B&N Press, Lulu and PublishDrive (see Sources)

The gray channel share is the largest deduction on every wholesale route. Lulu's own bookstore keeps $9.59 because no retailer takes a cut, but it brings almost no shoppers on its own. Print costs for IngramSpark, B&N and Lulu are planning estimates to be replaced with each platform's calculator output.

Sources: Profitable.app KDP royalty calculator; IngramSpark Help Center: 2026 pricing changes; B&N Press Help Center: Getting paid; Chapter: Lulu pricing (Sep 2026); Jane Friedman: IngramSpark 2026 pricing

COST VARIANCE ANALYSIS

# The variance bridge: channel share explains most of the gap



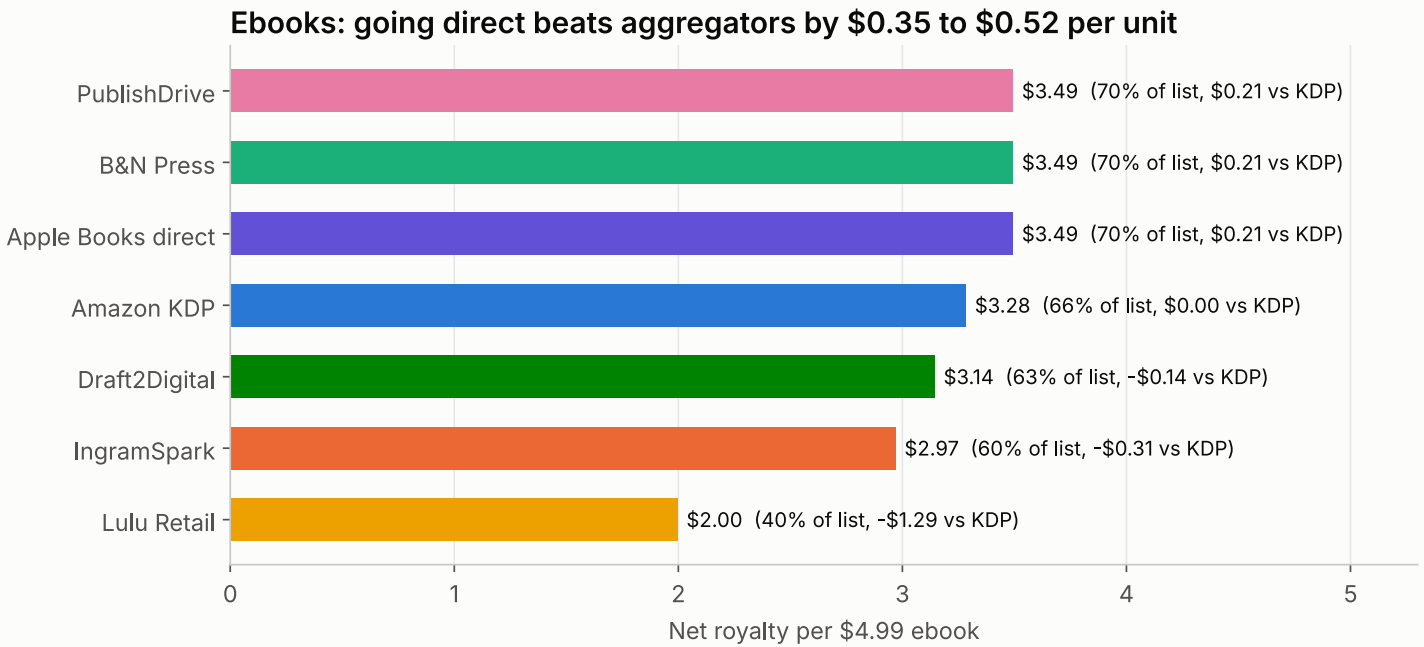

Source: Model in this repository; baseline = Amazon KDP print royalty of $6.79 per unit

Each bar decomposes one platform's variance against the KDP baseline into three drivers that sum to the total, the same price, cost and mix logic used in a budget-vs-actual review. For IngramSpark, the 55% discount costs $2.55, higher print costs $0.60 and the market access fee $0.32, for a total unfavorable variance of $3.47 per unit.

Sources: IngramSpark Help Center: 2026 pricing changes; Profitable.app KDP royalty calculator

UNIT ECONOMICS

# Ebooks: direct uploads beat aggregators



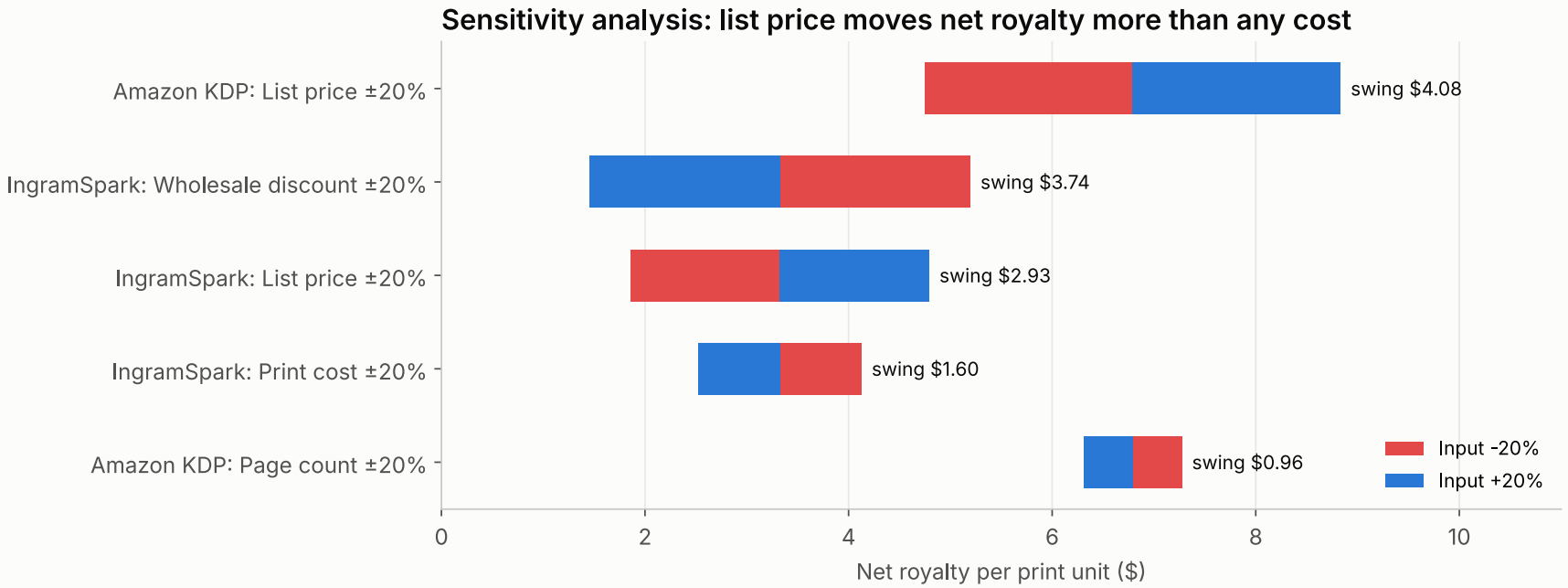

Source: Model in this repository; store payout rates from ScribeCount; fees from KDP, Draft2Digital and IngramSpark agreement Sec. 8.1.3

On a $4.99 ebook, direct stores pay $3.49. KDP pays $3.28 after a $0.30 delivery fee. Aggregators trade $0.35 to $0.52 per unit for one-upload reach, which is a classic take-rate versus convenience trade-off.

Sources: ScribeCount platform comparison; Profitable.app KDP royalty calculator; PublishDrive vs Draft2Digital (Apr 2026); IngramSpark Agreement (Lightning Source)

RISK

# Sensitivity analysis: price is the biggest lever



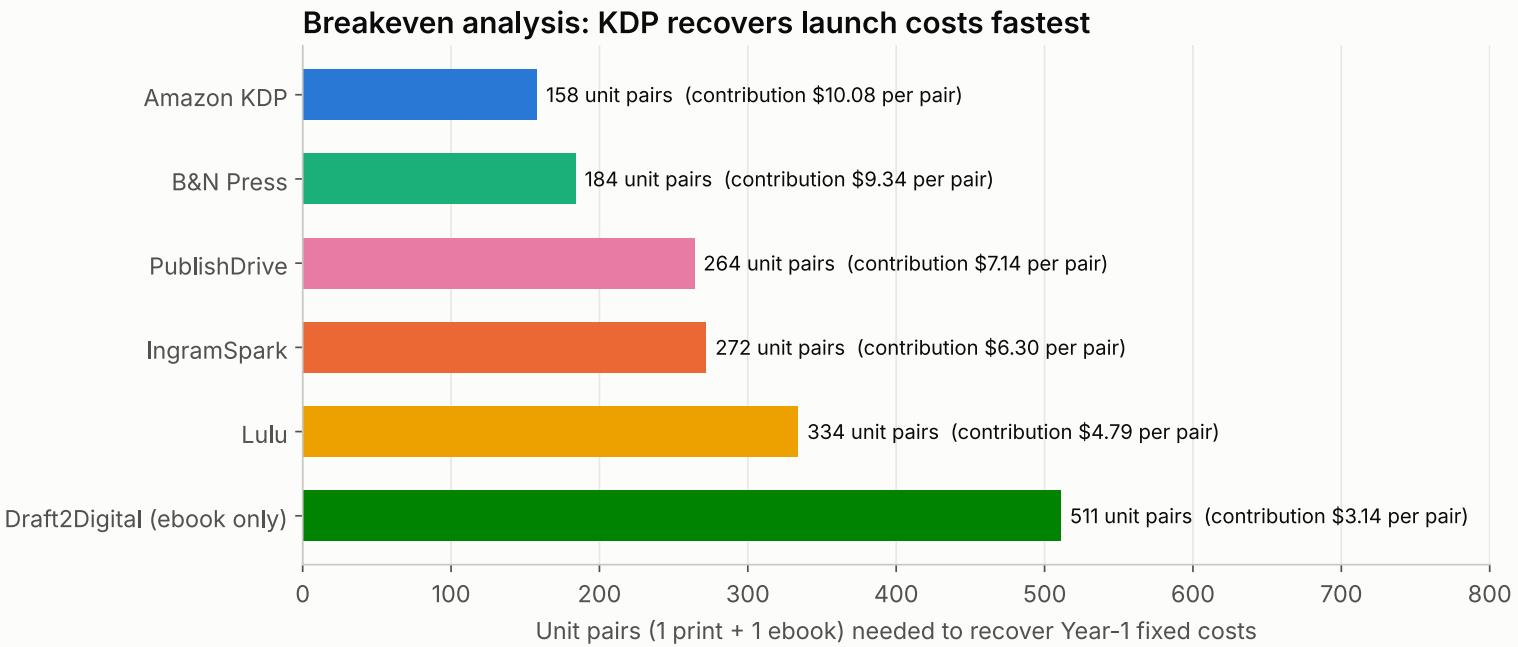

Source: Model in this repository; each input flexed ±20% with all others held at base

Flexing each input by 20% shows that list price moves KDP's net royalty by $4.08 per unit, four times the effect of page count. On IngramSpark, the wholesale discount is the largest controllable lever, which makes discount terms the first thing to test.

Sources: Profitable.app KDP royalty calculator; IngramSpark Help Center: 2026 pricing changes

BREAKEVEN ANALYSIS

# How many sales recover the launch investment?




Source: Model in this repository; fixed costs = platform one-time fees + $85 copyright registration + $1,500 illustrative launch budget + subscriptions

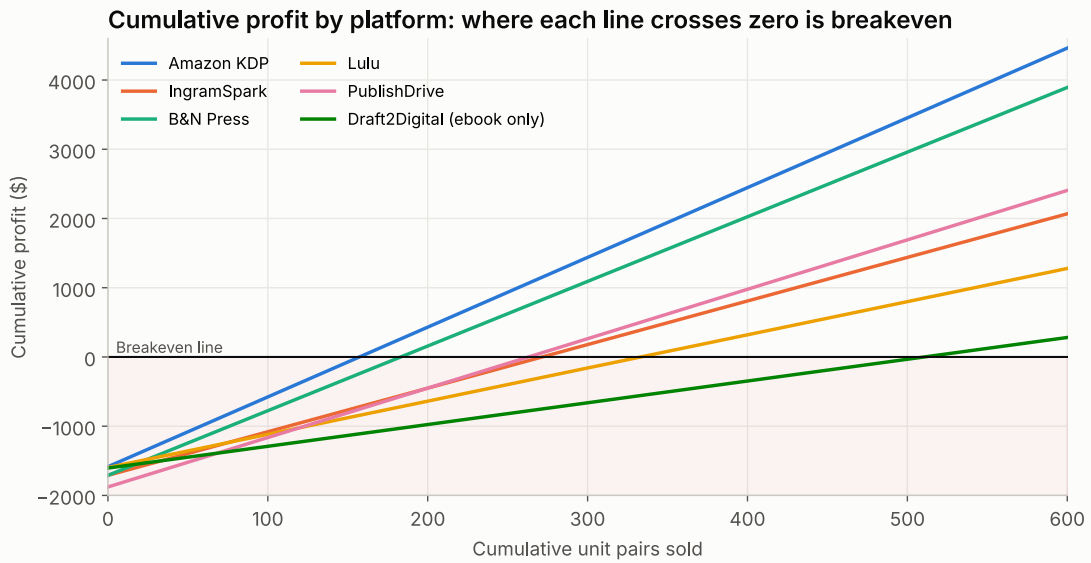
```
Breakeven units = Year-1 fixed costs ÷ contribution per unit pair   |   Fixed costs = platform fees + $85 copyright registration + $1,500 illustrative launch budget + subscriptions
```

KDP needs 158 unit pairs and IngramSpark 272. Without the illustrative launch budget, platform-only fixed costs are recovered within 0 to 42 pairs, so the real breakeven risk sits in production spend, not platform fees. Stakeholders should replace the $1,500 placeholder with their own budget in the Excel model.

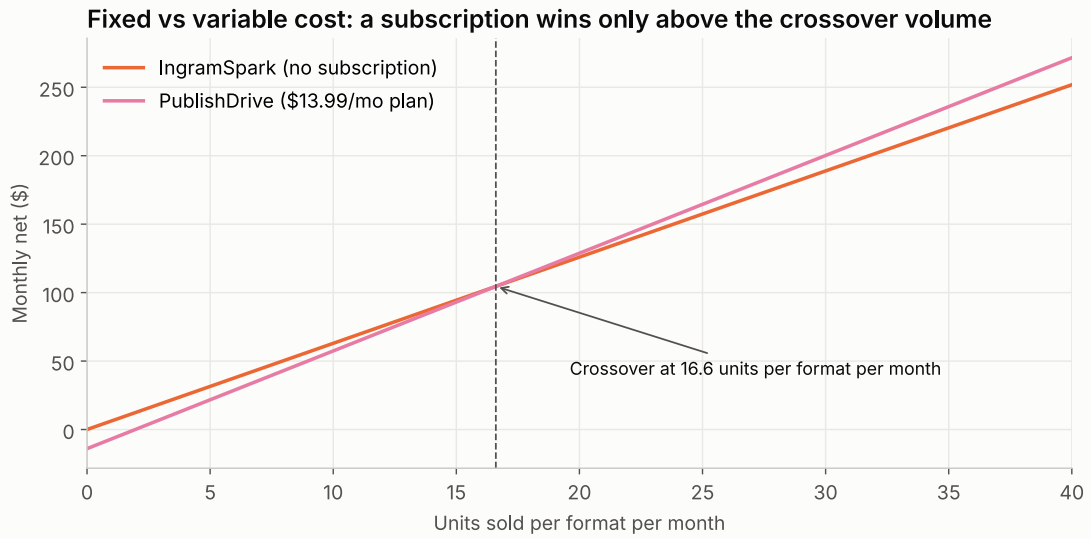
Sources: Hypebot on the 2026 USCO fee schedule; ScribeCount: How to publish on IngramSpark; PublishDrive Help: pricing plans

BREAKEVEN ANALYSIS

# Breakeven curves and the subscription crossover




Source: Model in this repository



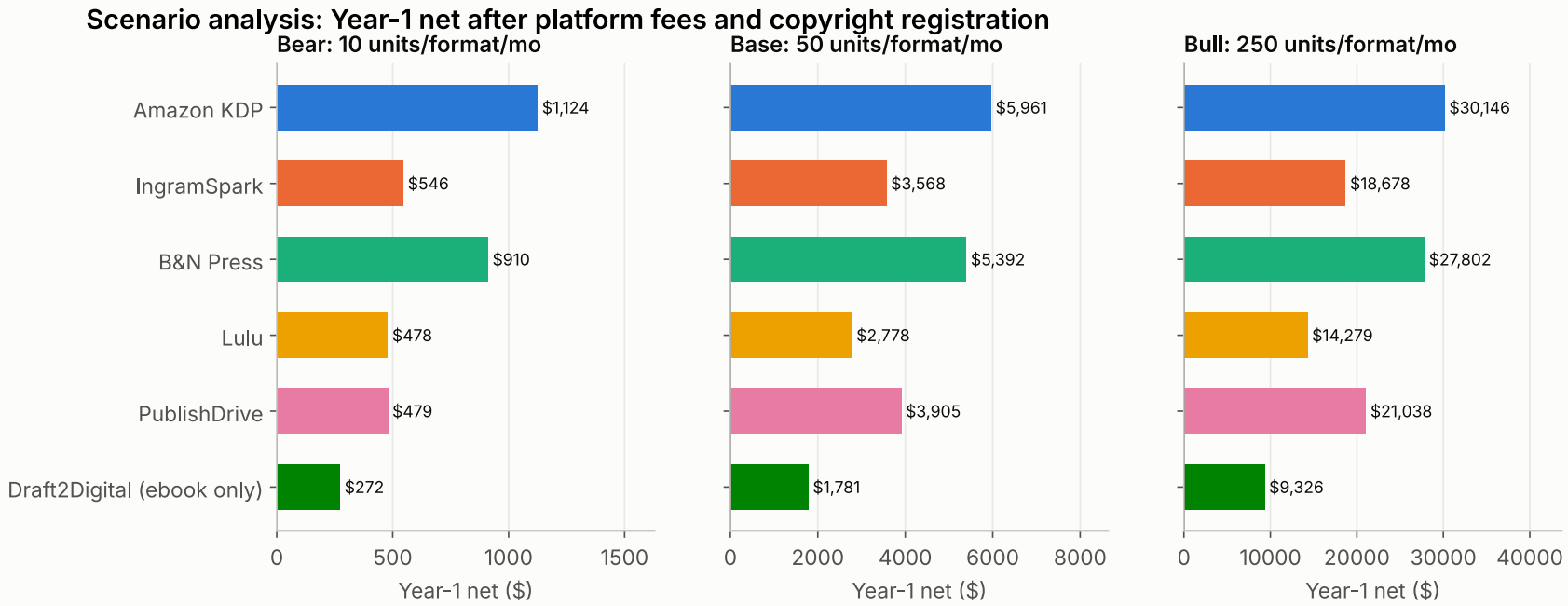

Source: Model in this repository; PublishDrive pricing from PublishDrive Help Center

Left: each line crosses zero at its breakeven point, and steeper slopes mean higher contribution margin. Right: PublishDrive's fixed fee overtakes IngramSpark's variable fees at 16.6 units per format per month, and overtakes Draft2Digital for ebooks at 40.1 units per month.

Sources: PublishDrive Help: pricing plans; IngramSpark Help Center: 2026 pricing changes; PublishDrive vs Draft2Digital (Apr 2026)

SCENARIO PLANNING

# Bear, base and bull volumes change the ranking very little



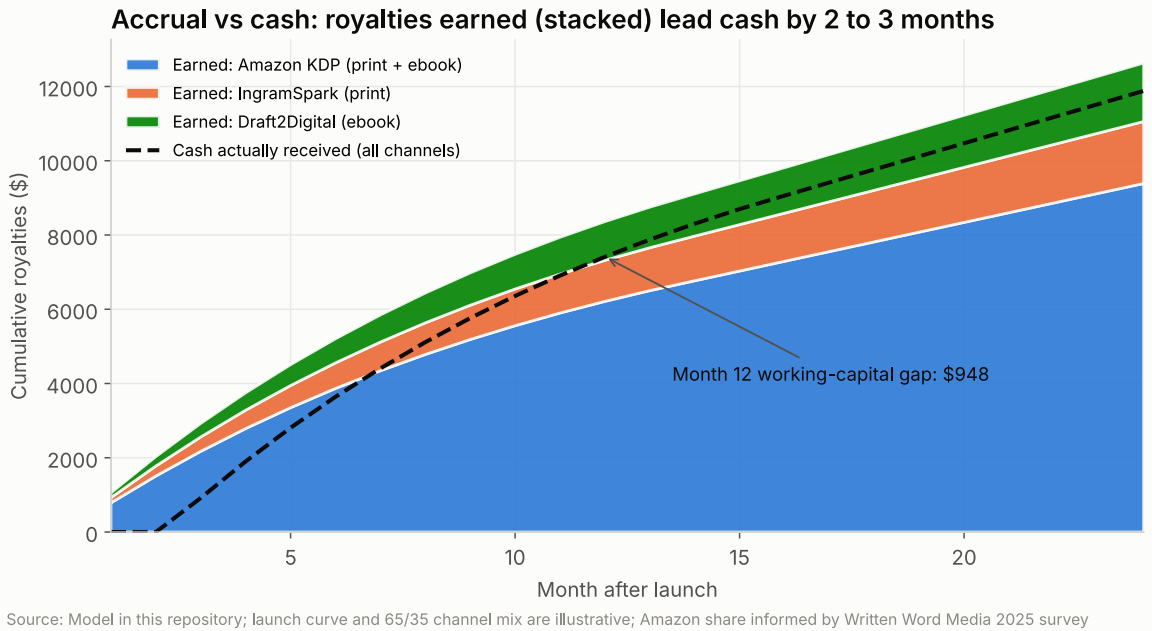

Source: Model in this repository; volumes are planning scenarios, not forecasts

KDP leads in every scenario, followed by B&N Press. PublishDrive moves ahead of IngramSpark once volume clears the crossover, which happens in the base and bull cases. These are planning scenarios, not forecasts; reach differs by channel, so equal volume per platform is a simplifying assumption.

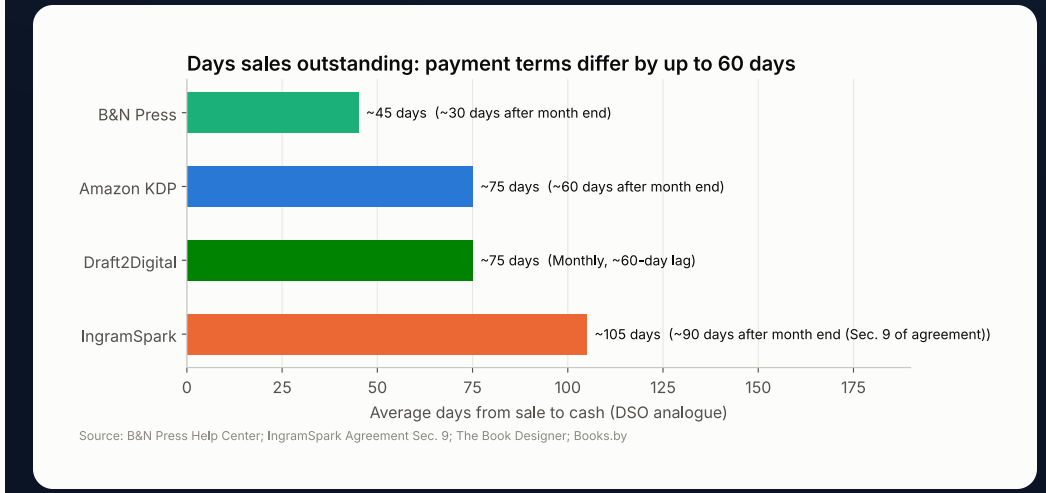
Sources: Profitable.app KDP royalty calculator; B&N Press Help Center: Getting paid; PublishDrive Help: pricing plans

WORKING CAPITAL

# Accrual vs cash: royalties earned lead cash by two to three months




Source: Model in this repository; launch curve and 65/35 channel mix are illustrative; Amazon share informed by Written Word Media 2025 survey



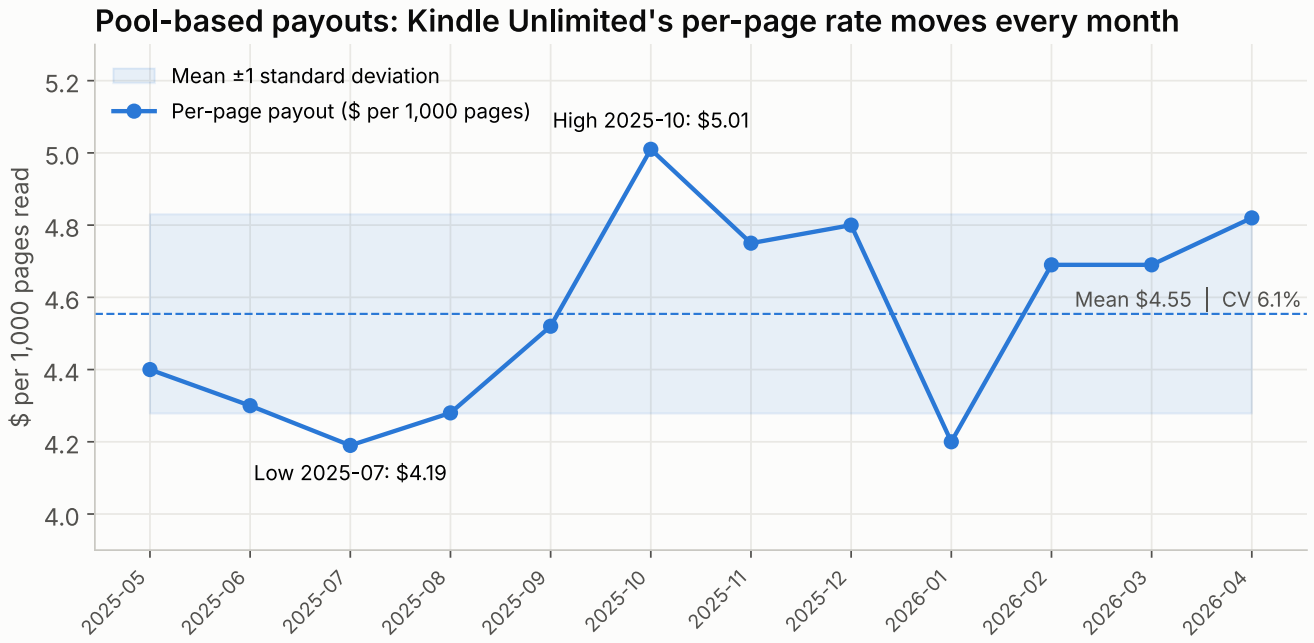

Source: B&N Press Help Center; IngramSpark Agreement Sec. 9; The Book Designer; Books.by

In an illustrative hybrid stack (KDP plus IngramSpark plus Draft2Digital), $948 of earned royalties is still uncollected at month 12. IngramSpark's terms add about 60 days of DSO versus B&N Press, and the agreement also lets it hold payments while a retailer has not paid (counterparty risk).

Sources: B&N Press Help Center: Getting paid; IngramSpark Agreement (Lightning Source); The Book Designer: B&N Press review; Books.by: Draft2Digital comparison; Written Word Media 2025 Indie Author Survey

VARIABLE REVENUE

# Pool-based payouts add volatility to exclusive ebook income



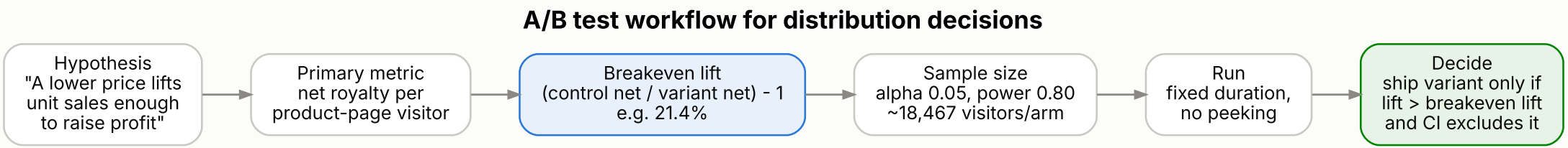

Source: Profitable.app KENP tracker (author-reported), May 2025 to April 2026

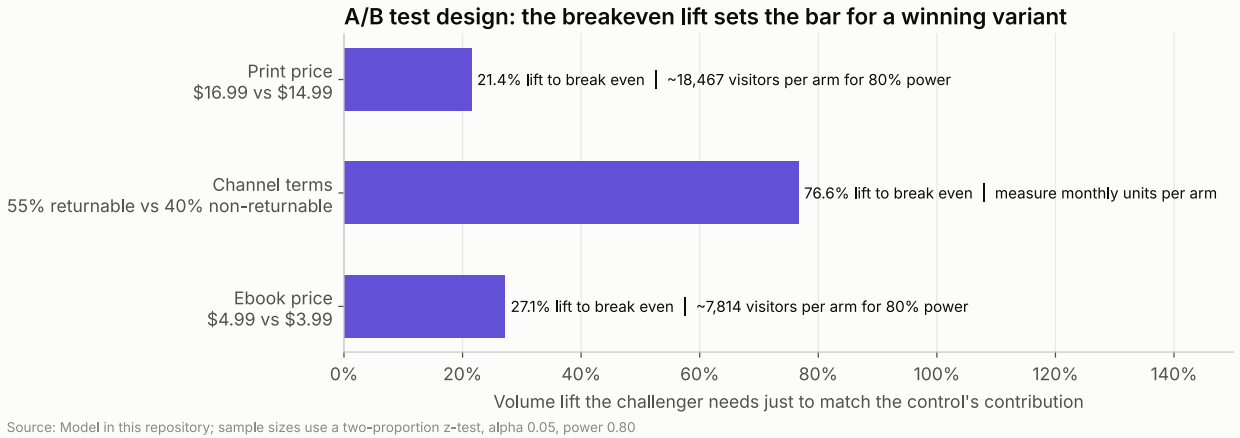
Kindle Unlimited pays from a monthly pool divided by pages read, the same pro-rata mechanism used by music streaming services. Over the last 12 reported months the rate averaged $4.55 per 1,000 pages with a 6.1% coefficient of variation, swinging from $4.19 to $5.01. In the 2025 Written Word Media survey, 38% of authors kept every book in KDP Select and 30% were fully wide.

Sources: Profitable.app KENP rate tracker; Written Word Media 2025 Indie Author Survey

EXPERIMENTATION

# A/B test design: know the breakeven lift before you test



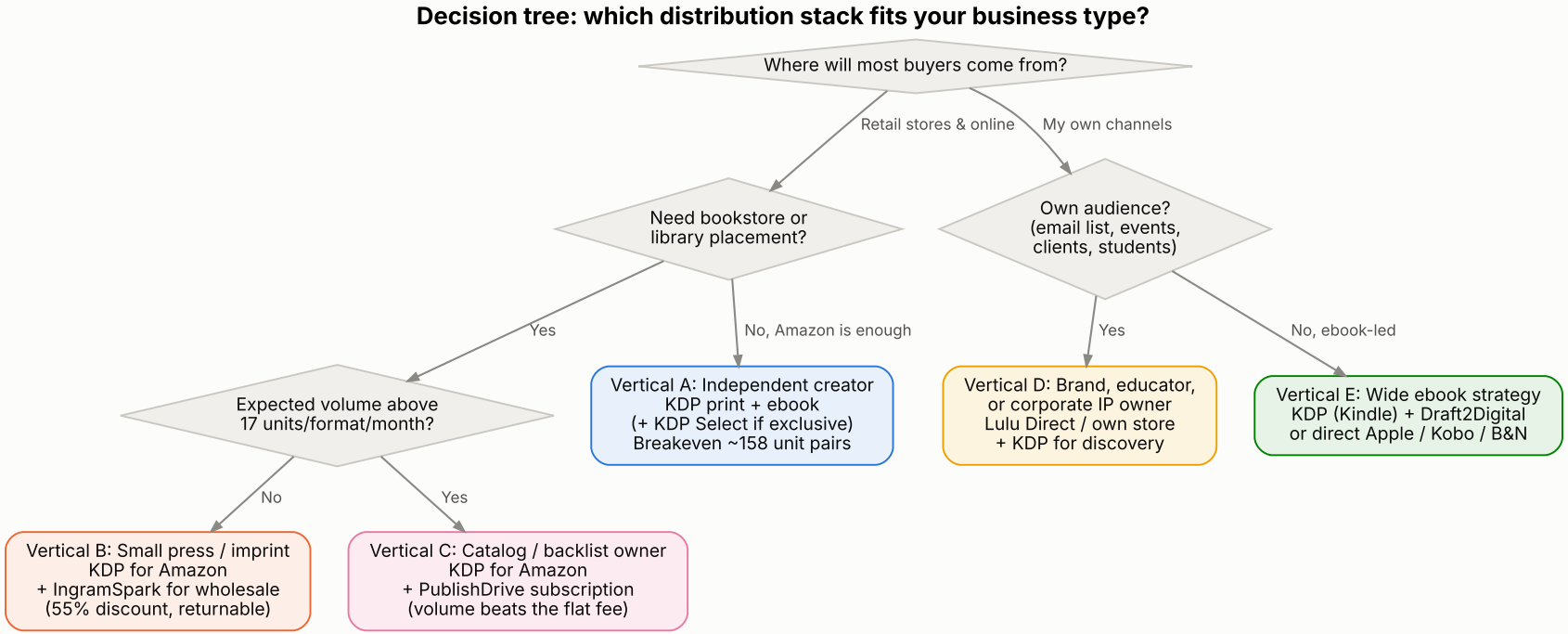




A price cut must lift unit sales by more than its breakeven lift to raise profit: 21.4% for a $16.99 to $14.99 print test and 27.1% for a $4.99 to $3.99 ebook test. Detecting a lift that size at a 2% baseline conversion takes about 18,467 visitors per arm. Retail platforms do not split traffic, so run time-boxed sequential tests or route paid traffic to two purchase links (for example, IngramSpark Share & Sell links).

Sources: Profitable.app KDP royalty calculator; IngramSpark Agreement (Lightning Source)

DECISION TREE

# Which distribution stack fits your business type?

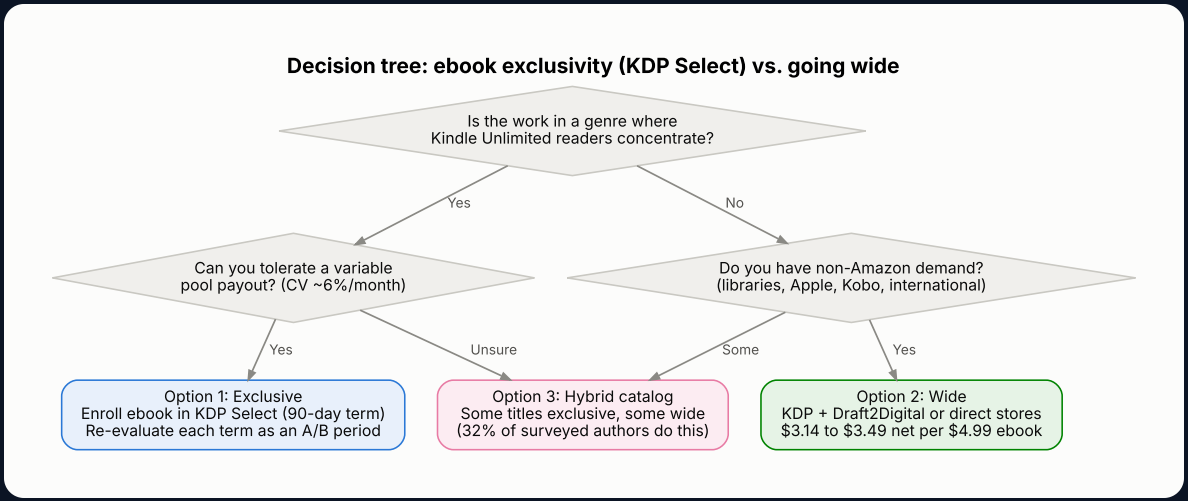


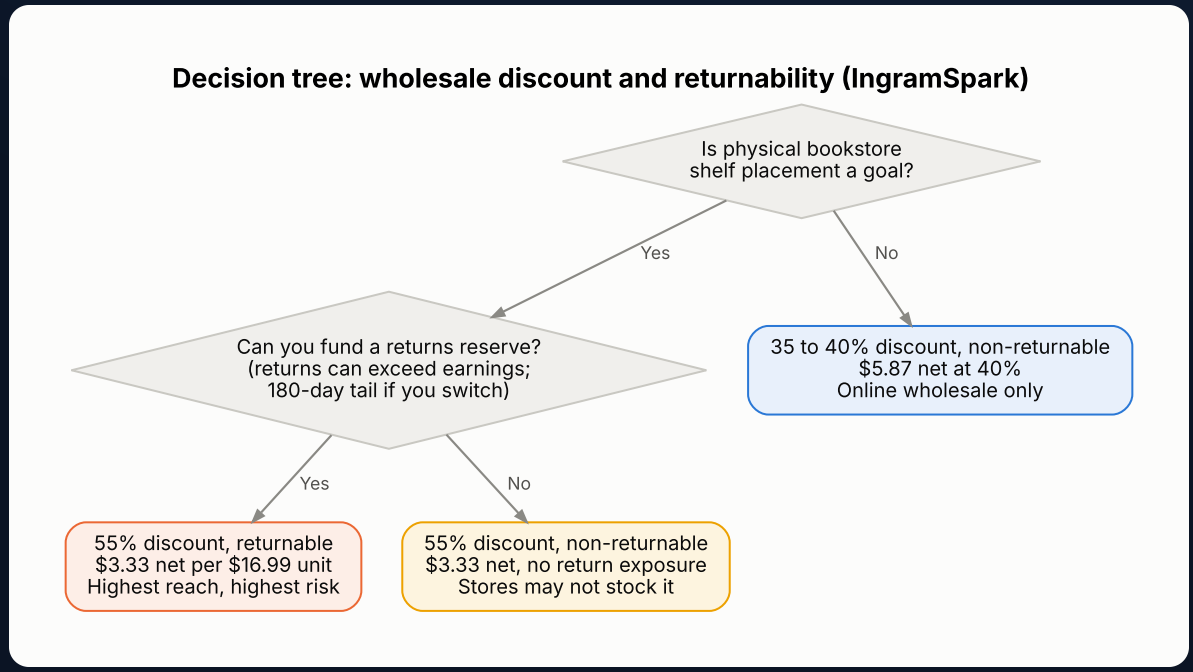

The thresholds come from the model: a 16.6-unit monthly crossover separates Vertical B from Vertical C, and owned-audience businesses (Vertical D) keep the most margin by selling direct, where Lulu Direct takes no revenue share.

Sources: PublishDrive Help: pricing plans; Chapter: Lulu pricing (Sep 2026)

DECISION TREES

# Two follow-on decisions: exclusivity and returns




Exclusivity trades reach for pool income; returnability trades margin and return risk for shelf placement. Both are reversible on known terms (90-day KDP Select periods; a 180-day return tail on IngramSpark), so both are good candidates for time-boxed tests.

Sources: Written Word Media 2025 Indie Author Survey; IngramSpark Agreement (Lightning Source)

CHOICE OPTIONS

# Three options per vertical, from lowest risk to widest reach

| | Vertical | Option 1: Recommended | Option 2: Alternative | Option 3: Stretch | Breakeven marker |
|---|---|---|---|---|---|
| A | **Independent creator** | KDP print + ebook | KDP + Draft2Digital (wide ebook) | KDP + KDP Select | 158 pairs |
| B | **Small press or imprint** | KDP + IngramSpark 55% returnable | KDP + IngramSpark 40% non-returnable | KDP + B&N Press + IngramSpark | 272 pairs (IngramSpark) |
| C | **Catalog or backlist owner** | KDP + PublishDrive | KDP + IngramSpark + Draft2Digital | PublishDrive only | 264 pairs; crossover 16.6/mo |
| D | **Brand, educator or corporate** | Lulu Direct on own site + KDP | IngramSpark Share & Sell links | Lulu Bookstore + KDP | Driven by owned traffic |
| E | **Wide ebook strategist** | KDP + direct Apple, Kobo, B&N | KDP + Draft2Digital | KDP + PublishDrive (above 40/mo) | Ebook-only economics |

Option 1 maximizes contribution per unit for each business type. Option 2 changes one variable and doubles as the B arm of an A/B test. Option 3 adds reach once volume supports it.

RISK REGISTER

# Contract terms that change the economics

| Risk | What the agreement says | Rating | Mitigation | Reference |
|---|---|---|---|---|
| **Returns liability** | Returnable titles bill returns back to the IP owner; a 180-day tail applies after switching to non-returnable | High | Start non-returnable; test returnability later | Sec. 5.4.5 |
| **Payment timing and offsets** | Compensation paid ~90 days after month end; can be held or offset for returns and other Ingram accounts | Medium | Plan cash with DSO assumptions; keep a reserve | Sec. 8.5, 9 |
| **Counterparty non-payment** | IP owner bears its share if a retailer never pays | Low to medium | Monitor statements; reconcile monthly | Sec. 8.3 |
| **Unilateral changes** | Terms and pricing can change; compensation changes take effect after 30 days | Medium | Review notices; re-run the model on each change | Sec. 2 |
| **Early release** | Enabling distribution lets orders ship before the publication date | Medium | Enable distribution only at launch | Sec. 5.1.2 |
| **Liability cap** | Platform liability capped at $500; broad indemnity owed by the IP owner | Low frequency, high impact | Confirm rights and clearances before upload | Sec. 12, 13 |

Section references are to the IngramSpark Agreement (last updated March 20, 2025). This is a plain-language business summary, not legal advice.

Sources: IngramSpark Agreement (Lightning Source)

RECOMMENDATION

# Decision request: a two-channel launch with a 90-day test window

### 1. Launch

List print and ebook on KDP for every vertical. Add one wide route chosen from the decision tree. Keep print non-returnable at launch and enable distribution only on the release date.

### 2. Test

Run one A/B test per 90 days: price first, then channel terms. Pre-register the metric (net royalty per visitor) and the breakeven lift, and stop only at the planned sample size.

### 3. Review

Hold a monthly variance review (budget vs actual by driver) and a quarterly re-forecast. Revisit exclusivity and subscriptions when volume crosses 16.6 units per format per month.

**Success measures:** breakeven reached within the planned unit count; contribution per unit within 5% of plan; cash received within the modeled DSO; one decision-grade A/B result per quarter.

METHODOLOGY

# How the numbers were built

### Model

- One Python model (analysis/model.py) writes every dataset in /data; the deck, Excel workbook and Tableau story all read the same numbers.
- Base case: $16.99 paperback, 200 pages, $4.99 ebook (2 MB), equal unit volume per platform.
- Variance = platform net royalty minus KDP net royalty, decomposed into channel share, production and platform-fee drivers that sum exactly to the total.
- A/B sample sizes use a two-proportion z-test (alpha 0.05, power 0.80).

### Assumptions to replace

- Print costs for IngramSpark ($4.00), B&N Press ($3.50) and Lulu ($5.00) are planning estimates.
- The $1,500 launch budget, the 65/35 channel mix and the launch-decay curve are illustrative.
- Platform terms reflect sources available as of October 2026 and change often.
- Status note: certain works referenced are in the initial stage of pre-publication copyright registration with the U.S. Copyright Office.

REFERENCE

# Glossary of cross-industry analytics and FP&A terms

| | |
|---|---|
| **A/B test** | A controlled comparison of two variants on one metric, run long enough to reach a pre-set sample size. |
| **Breakeven point** | Units at which cumulative contribution equals fixed costs. |
| **Coefficient of variation (CV)** | Standard deviation divided by mean; a unit-free measure of volatility. |
| **Cost variance analysis** | Explaining the difference between two cost outcomes by isolating each driver. |
| **Gross-to-net (GTN)** | The waterfall from list price to net revenue after discounts, fees and allowances. |
| **Pool-based payout** | Revenue paid from a fixed pool shared by usage, as in streaming royalties. |
| **Scenario analysis** | Comparing outcomes under bear, base and bull assumptions. |
| **Working capital gap** | Revenue earned but not yet collected in cash. |
| **Breakeven lift** | The minimum increase in volume a cheaper variant needs just to match the control's contribution. |
| **Channel share / take rate** | The portion of the sale price kept by the retailer or marketplace. |
| **Contribution margin** | Revenue per unit minus variable costs per unit; what each sale adds toward fixed costs. |
| **Days sales outstanding (DSO)** | Average days between a sale and the cash arriving. |
| **Margin of safety** | How far planned volume can fall before reaching breakeven. |
| **Returns reserve** | Cash or earnings held back to cover expected returns. |
| **Sensitivity analysis** | Flexing one input at a time to see which one moves the result most. |

ATTRIBUTION

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